

SEGMENTING ASSETS

Now that we have created our balance sheet, the next step is to segregate the assets in our balance sheet into 'Investible Portfolio' and 'Support Assets'. Let us first understand what they mean.

INVESTIBLE PORTFOLIO

Investible portfolio refers to the portion of the assets from the total that we are willing to sell off and relocate to other asset classes, as required by our Lazy Financial Plan to meet our financial goals. Assets held over here are from a returns perspective rather than their utility. For example, we own a house and we live there with no intention to sell it off even for meeting our financial goal; hence, this does not go under our investible portfolio. On the other hand, if we own some gold, we are willing to sell it off to meet our financial goals, then it will come under our investible portfolio. Or maybe, we own a second house that we have rented out. We are willing to sell off this particular property to meet our goals. That house goes in the investible portfolio.

SUPPORT ASSETS

All other assets that do not fall under the investible portfolio category, will automatically be categorized under the 'Support Assets'. These are assets that we are not willing to sell and relocate for our financial planning. These are the assets that serve a utility and we are not willing to look at them as a potential source of financial gain. For instance, we do not want to sell the house that you live in, to plan for finances, and as a result, it will fall under support assets. The assets occupied in our business will form support assets. (Moving forward, we will learn to deal with business assets)

